Table 6. Guinea: Sensitivity Analysis for Key Indicators of Public and Publicly Guaranteed External Debt, 2018–38 (concluded)

(Percent)

	Projections							
	2018	2019	2020	2021	2022	2023	**2028**	2038
Debt service-to-exports ratio								
Baseline	2	3	3	3	4	4	**5**	5
A. Alternative Scenarios								
A1. Key variables at their historical averages in 2018-2038 1/	2	3	3	4	4	4	**11**	21
A2. New public sector loans on less favorable terms in 2018-2038 2/	2	3	3	3	4	4	**7**	8
B. Bound Tests								
B1. Real GDP growth at historical average minus one standard deviation in 2019-2020	2	3	3	3	4	4	**5**	5
B2. Export value growth at historical average minus one standard deviation in 2019-2020 3/	2	3	4	6	6	6	**13**	8
B3. US dollar GDP deflator at historical average minus one standard deviation in 2019-2020	2	3	3	3	4	4	**5**	5
B4. Net non-debt creating flows at historical average minus one standard deviation in 2019-2020 4/	2	3	3	4	4	4	**9**	5
B5. Combination of B1-B4 using one-half standard deviation shocks	2	3	3	5	5	5	**11**	6
B6. One-time 30 percent nominal depreciation relative to the baseline in 2019 5/	2	3	3	3	4	4	**5**	5
Debt service-to-revenue ratio								
Baseline	6	6	6	7	8	7	**10**	10
A. Alternative Scenarios								
A1. Key variables at their historical averages in 2018-2038 1/	6	6	6	8	9	9	**22**	39
A2. New public sector loans on less favorable terms in 2018-2038 2/	6	6	6	8	8	8	**13**	14
B. Bound Tests								
B1. Real GDP growth at historical average minus one standard deviation in 2019-2020	6	7	7	8	9	8	**11**	11
B2. Export value growth at historical average minus one standard deviation in 2019-2020 3/	6	6	6	9	9	9	**17**	10
B3. US dollar GDP deflator at historical average minus one standard deviation in 2019-2020	6	7	8	9	10	9	**12**	12
B4. Net non-debt creating flows at historical average minus one standard deviation in 2019-2020 4/	6	6	7	9	9	9	**17**	10
B5. Combination of B1-B4 using one-half standard deviation shocks	6	7	8	11	11	10	**22**	12
B6. One-time 30 percent nominal depreciation relative to the baseline in 2019 5/	6	9	9	10	11	11	**14**	14
Memorandum item:								
Grant element assumed on residual financing (i.e., financing required above baseline) 6/	29	29	29	29	29	29	**29**	29

Sources: Country authorities; and staff estimates and projections.

1/ Variables include real GDP growth, growth of GDP deflator (in U.S. dollar terms), non-interest current account in percent of GDP, and non-debt creating flows.
2/ Assumes that the interest rate on new borrowing is by 2 percentage points higher than in the baseline., while grace and maturity periods are the same as in the
3/ Exports values are assumed to remain permanently at the lower level, but the current account as a share of GDP is assumed to return to its baseline level after the shock (implicitly assuming an offsetting adjustment in import levels).
4/ Includes official and private transfers and FDI.
5/ Depreciation is defined as percentage decline in dollar/local currency rate, such that it never exceeds 100 percent.
6/ Applies to all stress scenarios except for A2 (less favorable financing) in which the terms on all new financing are as specified in footnote 2.

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Table 7. Guinea: Public Sector Sustainability Framework, Baseline Scenario, 2014–38

(Percent of GDP, unless otherwise indicated)

	Actual						Estimate	Projections								
	2014	2015	2016	2017	Average 5/	Standard Deviation 5/	2018	2019	2020	2021	2022	2023	2018-23 Average	2028	2038	2024-38 Average
Public sector debt 1/	37.5	43.6	41.8	37.4			40.3	43.0	42.4	40.3	38.6	37.6		32.4	21.9	
of which: foreign-currency denominated	23.1	23.3	22.5	19.6			26.9	31.7	33.0	32.4	31.9	31.6		28.8	19.8	
Change in public sector debt	6.2	6.1	-1.8	-4.4			2.9	2.7	-0.6	-2.0	-1.7	-1.1		-1.2	-1.0	
Identified debt-creating flows	2.0	6.0	-3.3	-5.0			-1.2	-1.4	-2.1	-2.0	-1.6	-1.4		-1.0	-0.5	
Primary deficit	2.6	6.2	-0.7	1.4	2.3	3.2	1.2	1.2	0.6	0.4	0.4	0.4	0.7	0.3	0.1	0.3
Revenue and grants	16.7	14.7	15.6	15.2			15.6	16.5	17.3	17.4	17.7	17.8		17.4	17.5	
of which: grants	2.8	1.0	0.9	1.3			1.1	1.1	1.1	1.1	1.1	1.1		0.5	0.5	
Primary (noninterest) expenditure	19.2	20.9	14.9	16.6			16.8	17.7	17.8	17.8	18.1	18.3		17.6	17.7	
Automatic debt dynamics	-0.5	0.8	-2.7	-6.4			-2.5	-2.6	-2.7	-2.4	-2.0	-1.8		-1.3	-0.6	
Contribution from interest rate/growth differential	-1.0	-1.6	-5.7	-5.9			-3.5	-4.0	-4.3	-4.1	-3.7	-3.4		-2.8	-1.7	
of which: contribution from average real interest rate	0.2	-0.2	-1.6	-2.7			-1.5	-1.7	-1.9	-1.7	-1.6	-1.5		-1.3	-0.6	
of which: contribution from real GDP growth	-1.1	-1.4	-4.1	-3.2			-2.1	-2.3	-2.4	-2.4	-2.0	-1.8		-1.6	-1.1	
Contribution from real exchange rate depreciation	0.5	2.3	3.0	-0.5			1.1	1.4	1.6	1.7	1.6	1.6		...	...	
Other identified debt-creating flows	-0.1	-1.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Privatization receipts (negative)	0.0	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Recognition of implicit or contingent liabilities	0.0	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Debt relief (HIPC and other)	-0.1	-1.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Other (specify, e.g. bank recapitalization)	0.0	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Residual, including asset changes	4.2	0.1	1.5	0.6			4.1	4.0	1.5	0.0	0.0	0.3		-0.2	-0.5	
Other Sustainability Indicators																
PV of public sector debt	...	...	...	31.4			32.0	33.1	32.2	30.3	28.8	27.9		24.2	16.4	
of which: foreign-currency denominated	...	...	...	13.6			18.6	21.9	22.8	22.4	22.0	21.9		20.6	14.3	
of which: external	...	...	...	13.6			18.6	21.9	22.8	22.4	22.0	21.9		20.6	14.3	
PV of contingent liabilities (not included in public sector debt)	...	...	...	...			...	...	...	...	...	...		...	...	
Gross financing need 2/	52.2	9.9	3.2	4.3			3.7	3.8	2.9	3.1	2.9	2.8		2.7	2.5	
PV of public sector debt-to-revenue and grants ratio (in percent)	...	...	...	206.7			205.3	201.4	186.3	173.6	162.3	156.2		139.4	93.2	
PV of public sector debt-to-revenue ratio (in percent)	...	...	...	226.8			220.3	215.3	198.8	184.8	173.0	166.1		143.6	95.9	
of which: external 3/	...	...	...	98.0			127.9	142.2	140.8	136.5	132.6	130.3		122.3	83.7	
Debt service-to-revenue and grants ratio (in percent) 4/	298.1	25.3	24.8	19.1			16.1	15.7	13.6	15.4	14.3	13.6		13.9	13.5	
Debt service-to-revenue ratio (in percent) 4/	358.5	27.2	26.3	21.0			17.3	16.7	14.5	16.4	15.2	14.5		14.3	13.9	
Primary deficit that stabilizes the debt-to-GDP ratio		0.1	1.1	5.8			-1.7	-1.4	1.2	2.4	2.1	1.5		1.5	1.1	
Key macroeconomic and fiscal assumptions																
Real GDP growth (in percent)	3.7	3.8	10.5	8.2	4.9	3.2	5.8	5.9	6.0	6.0	5.3	5.0	5.7	5.0	5.0	5.0
Average nominal interest rate on forex debt (in percent)	1.0	0.7	1.4	1.1	1.1	0.3	1.9	1.6	1.5	1.9	1.5	1.5	1.7	1.5	1.7	1.6
Average real interest rate on domestic debt (in percent)	3.0	2.0	-2.4	-5.5	-0.4	5.2	-2.4	-1.6	-1.2	0.6	2.1	3.7	0.2	11.4	26.3	15.9
Real exchange rate depreciation (in percent, + indicates depreciation)	3.2	10.7	15.3	-2.4	8.5	10.9	6.0	...	...	...	...	...	...	...	...	...
Inflation rate (GDP deflator, in percent)	2.8	2.8	7.1	10.5	8.4	5.3	8.1	8.1	7.9	7.8	7.8	7.8	7.9	8.0	8.0	8.0
Growth of real primary spending (deflated by GDP deflator, in percent)	0.1	12.8	-21.3	20.4	1.4	10.6	7.3	11.6	7.0	5.8	7.2	5.7	7.4	5.2	4.5	4.7
Grant element of new external borrowing (in percent)	...	...	...	...	...	...	31.1	29.1	30.3	28.9	28.0	28.4	29.3	25.8	20.5	...

Sources: Country authorities; and staff estimates and projections.

1/ Public debt is defined as the gross central government debt (including the BCRG guarantees).

2/ Gross financing need is defined as the primary deficit plus debt service plus the stock of short-term debt at the end of the last period.

3/ Revenues excluding grants.

4/ Debt service is defined as the sum of interest and amortization of medium and long-term debt.

5/ Historical averages and standard deviations are generally derived over the past 10 years, subject to data availability.

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Table 8. Guinea: Sensitivity Analysis for Key Indicators of Public Debt 2018–38

(Percent)

	Projections							
	2018	2019	2020	2021	2022	2023	2028	2038
PV of Debt-to-GDP Ratio								
Baseline	32	33	32	30	29	28	24	16
A. Alternative scenarios								
A1. Real GDP growth and primary balance are at historical averages	32	34	35	34	34	35	36	36
A2. Primary balance is unchanged from 2018	32	33	33	31	30	30	29	25
A3. Permanently lower GDP growth 1/	32	33	33	31	30	30	30	33
B. Bound tests								
B1. Real GDP growth is at historical average minus one standard deviations in 2019-20	32	35	36	35	34	34	34	31
B2. Primary balance is at historical average minus one standard deviations in 2019-202	32	36	38	36	35	34	29	19
B3. Combination of B1-B2 using one half standard deviation shocks	32	36	38	36	35	35	33	27
B4. One-time 30 percent real depreciation in 2019	32	40	39	36	34	33	29	22
B5. 10 percent of GDP increase in other debt-creating flows in 2019	32	40	39	37	35	34	29	19
PV of Debt-to-Revenue Ratio 2/								
Baseline	205	201	186	174	162	156	139	93
A. Alternative scenarios								
A1. Real GDP growth and primary balance are at historical averages	205	208	201	197	193	193	208	208
A2. Primary balance is unchanged from 2018	205	201	189	179	171	168	165	142
A3. Permanently lower GDP growth 1/	205	203	190	179	170	167	171	186
B. Bound tests								
B1. Real GDP growth is at historical average minus one standard deviations in 2019-20	205	212	209	201	193	192	198	179
B2. Primary balance is at historical average minus one standard deviations in 2019-202	205	219	222	208	195	188	166	108
B3. Combination of B1-B2 using one half standard deviation shocks	205	217	219	208	198	194	189	154
B4. One-time 30 percent real depreciation in 2019	205	245	223	208	194	186	170	125
B5. 10 percent of GDP increase in other debt-creating flows in 2019	205	243	224	210	197	190	167	109
Debt Service-to-Revenue Ratio 2/								
Baseline	16	16	14	15	14	14	14	14
A. Alternative scenarios								
A1. Real GDP growth and primary balance are at historical averages	16	16	14	16	15	15	18	23
A2. Primary balance is unchanged from 2018	16	16	14	15	14	14	15	17
A3. Permanently lower GDP growth 1/	16	16	14	16	15	14	16	20
B. Bound tests								
B1. Real GDP growth is at historical average minus one standard deviations in 2019-20	16	16	15	17	16	15	17	21
B2. Primary balance is at historical average minus one standard deviations in 2019-202	16	16	14	16	15	14	17	15
B3. Combination of B1-B2 using one half standard deviation shocks	16	16	14	17	16	15	18	19
B4. One-time 30 percent real depreciation in 2019	16	17	16	19	18	17	19	21
B5. 10 percent of GDP increase in other debt-creating flows in 2019	16	16	14	16	15	14	17	15

Sources: Country authorities; and staff estimates and projections.

1/ Assumes that real GDP growth is at baseline minus one standard deviation divided by the square root of the length of the projection period.

2/ Revenues are defined inclusive of grants.

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